



San Diego

- Positive net absorption of 220,000 s.f. pushed vacancy down 20 bps to 7.7%, and tenants prioritized renewals in a recovering market.
- Diverse industry activity strengthened in the core central submarkets, including notable defense leasing and demand from manufacturing users.
- The market remains fragmented with increased leasing and new development in North County, while South County supply continues to outpace near-term demand.
- Moderate sales activity was highlighted by several mid-sized user transactions and targeted investment sales, and tenant requirements surged 70% year-over-year, positioning the market for broader recovery.

San Diego's industrial market posted 220,000 s.f. of positive net absorption during Q1 2026, bringing vacancy down 20bps quarter-over-quarter to 7.7%. The improvement was driven by move-ins from logistics, automotive, and consumer goods sectors, while a limited development pipeline and strong renewal activity provided supply-side support. New leasing was led by consumer goods and defense, though total volume marked the lowest Q1 in a decade as tenants prioritized renewals over relocations. Market asking rents held at \$1.29 NNN, but performance was fragmented.

Core central submarkets maintained strong fundamentals, with vacancy compression and stable asking rents signaling sustained recovery. Activity from defense and manufacturing tenants has been encouraging amid increased federal defense spending, highlighted by two new leases totaling 63,000 s.f. by a defense contractor in Rose Canyon/Morena. North County showed positive signs after two consecutive years of new leasing growth, as availability moderates. A 125,000 s.f. Class A warehouse delivered in Vista—the submarket's first major ground-up industrial project since 2014—addressing demand for modern warehouse space. South County performance was mixed, as 208,000 s.f. of positive absorption in Chula Vista contrasted with move-outs in Otay Mesa that pushed submarket vacancy to 15.7%, though mid-sized leasing signals underlying demand. Sales totaled \$198 million during Q1 with investment sales focused on high occupancy multi-tenant parks and mid-to-large block single tenant sites in stabilized regions, while owner-user activity gained momentum with several mid-sized transactions.

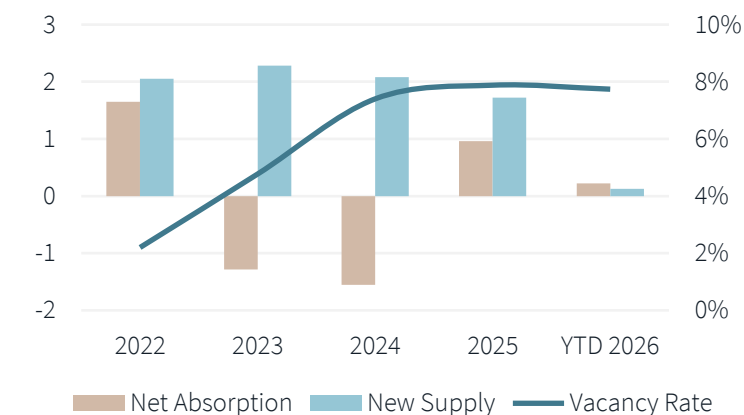
Outlook

Looking ahead, despite rising transportation costs and tariff uncertainty affecting the industrial sector, tenant requirements increased 70% year-over-year with growing industry diversity. As South County's development pipeline thins and leasing activity absorbs excess supply over the next year, the market's recovery should broaden across clusters. Tenants may find favorable negotiating conditions in oversupplied areas, while owners in supply-constrained submarkets should maintain pricing power.

Fundamentals	Forecast	
YTD net absorption	220,374 s.f.	↑
Under development	945,579 s.f.	↓
Preleased	0.0%	↑
YTD deliveries	125,076 s.f.	↑
Total vacancy	7.7%	→
Total availability	11.9%	↑
Average asking rent	\$1.29 p.s.f.	→
Concessions	Rising	↑

Historical supply and demand trends

s.f. (millions)



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